three alternative proposals. First, the creditors do not forgive the debt, but lend $120 million to the country. Second, creditors forgive the debt down to $50 million, but lend nothing. Third, creditors forgive the entire debt and lend nothing. Which alternative is best for the country?

Assuming this country has no access to private capital markets, the answer seems obvious: full debt forgiveness, which would be twice as good as half debt forgiveness and surely better than a loan that is not much bigger than the full debt amount. Yet when viewed in terms of net resources available to the country during the period, under the first proposal these would amount to $70 million (the loan of $120 million plus inflows of $50 million, less the repayment of $100 million), under the second they would amount to nothing, while under the third they would amount to $50 million. Of immediate importance to a resource-starved poor country is the amount of additional resources it gets in the current period (termed 'additionality'). The best proposal in terms of additionality is the first, which offers no debt relief.

The point is that if official creditors take with one hand (collecting debt service) but give more with the other (in the form of a loan), the poor country may have more financing in the short run than with debt forgiveness. And debt forgiveness may actually be problematic if it exhausts donor aid budgets. Of course, without forgiveness, in the long run, the country will have more debt on its books, which may become unsustainable. In the three proposals, the country will end the period owing $120 million, $50 million, and nothing, respectively. However, high or unsustainable debt is a problem only if it hurts the country's growth. Let us turn to that.

High debt can be detrimental to a country's growth. It can increase the risk of financial distress or crisis, when foreign creditors rush to